

SEMI-ANNUAL FINANCIAL STATEMENTS

BMO Low Volatility Emerging Markets Equity ETF (ZLE)

June 30, 2026

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Statement of Financial Position

(All amounts in thousands of Canadian dollars, except per unit data)

As at	June 30 2026	December 31 2025
Assets		
Current Assets		
Cash	448	467
Investments		
Non-derivative financial assets	103,830	73,297
Dividends receivable	246	128
Distributions receivable from investment trusts	—	27
Total assets	104,524	73,919
Liabilities		
Current Liabilities		
Payable for investments purchased	—	0
Distributions payable	—	2,230
Accrued expenses	114	76
Accrued foreign capital gains tax	343	435
Total liabilities	457	2,741
Net assets attributable to holders of redeemable units	104,067	71,178
Net assets attributable to holders of redeemable units per unit	\$ 29.08	\$ 21.71

Statement of Comprehensive Income

(All amounts in thousands of Canadian dollars, except per unit data)

For the periods ended	June 30 2026	June 30 2025
Income		
Interest income	7	6
Dividend income	1,048	1,511
Other changes in fair value of investments and derivatives		
Net realized gain (loss)	2,218	(465)
Change in unrealized appreciation	22,001	4,346
Net gain in fair value of investments and derivatives	25,274	5,398
Securities lending (note 8)	3	0
Foreign exchange loss	(34)	(27)
Total other loss	(31)	(27)
Total income	25,243	5,371
Expenses		
Management fees (note 6)	206	153
Independent review committee fees (note 6)	0	0
Withholding taxes	68	139
ETF summary document fees	0	0
Unitholder reporting costs	0	0
Commissions and other portfolio transaction costs (note 6)	18	19
Foreign capital gains tax	(65)	(69)
Total expenses	227	242
Increase in net assets attributable to holders of redeemable units	25,016	5,129
Increase in net assets attributable to holders of redeemable units per unit (note 8)	7.38	1.57

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Statement of Changes in Net Assets Attributable to Holders of Redeemable Units

(All amounts in thousands of Canadian dollars)

For the periods ended	June 30 2026	June 30 2025
Net assets attributable to holders of redeemable units at beginning of period	71,178	58,167
Increase in net assets attributable to holders of redeemable units	25,016	5,129
Redeemable unit transactions		
Proceeds from redeemable units issued	7,873	5,681
Net increase from redeemable unit transactions	7,873	5,681
Net increase in net assets attributable to holders of redeemable units	32,889	10,810
Net assets attributable to holders of redeemable units at end of period	104,067	68,977

The accompanying notes are an integral part of these financial statements.

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Statement of Cash Flows

(All amounts in thousands of Canadian dollars)

For the periods ended	June 30 2026	June 30 2025
Cash flows from operating activities		
Increase in net assets attributable to holders of redeemable units	25,016	5,129
Adjustments for:		
Foreign exchange loss on cash	22	12
Net realized (gain) loss on sale of investments and derivatives	(2,218)	465
Change in unrealized appreciation of investments and derivatives	(22,001)	(4,346)
Increase in dividends receivable	(118)	(230)
Decrease in distributions receivable from investment trusts	27	9
Increase in accrued expenses	38	3
Decrease in accrued foreign capital gains tax	(92)	(86)
Amortization of premium and discounts	(6)	(5)
Non-cash dividends	—	(211)
Purchases of investments	(23,273)	(14,849)
Proceeds from sale and maturity of investments	16,965	10,363
Net cash used in operating activities	(5,640)	(3,746)
Cash flows from financing activities		
Distributions paid to holders of redeemable units, net of reinvested distributions	(2,230)	(2,100)
Proceeds from issuances of redeemable units	7,873	5,681
Net cash from financing activities	5,643	3,581
Foreign exchange loss on cash	(22)	(12)
Net increase (decrease) in cash	3	(165)
Cash at beginning of period	467	583
Cash at end of period	448	406
Supplementary Information		
Interest received, net of withholding taxes*	1	1
Dividends received, net of withholding taxes*	862	931
Distributions received from investment trusts, net of withholding taxes*	27	9
Foreign capital gains tax paid	27	17

* These items are from operating activities.

The accompanying notes are an integral part of these financial statements.

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Schedule of Investment Portfolio

As at June 30, 2026 (All amounts in thousands of Canadian dollars, unless otherwise noted)

	Number of Shares or Units	Cost* (\$)	Fair Value (\$)		Number of Shares or Units	Cost* (\$)	Fair Value (\$)
EQUITIES							
Brazil — 3.1%							
Banco do Brasil S.A.	30,322	213	166	China National Nuclear Power Co., Ltd., Class A	18,715	26	35
BB Seguridade Participacoes S.A.	33,725	267	363	China Petroleum & Chemical Corporation, Class A	123,186	116	114
Caixa Seguridade Participacoes S.A.	15,537	60	84	China Power International Development Limited	277,549	175	138
Companhia de Saneamento Basico do Estado de Sao Paulo - SABESP	40,390	170	329	China Resources Gas Group Limited	23,345	117	62
CPFL Energia S.A.	11,723	104	144	China Ruyi Holdings Limited	191,040	81	52
Itau Unibanco Holding S.A., Preference	5,750	34	66	China Shenhua Energy Company Limited, A Shares	23,593	157	192
Itausa - Investimentos Itau S.A., Preference	82,105	169	302	China Shenhua Energy Company Limited, H Shares	103,037	374	747
Motiva Infraestrutura de Mobilidade S.A.	59,612	166	239	China Yangtze Power Co., Ltd., Class A	65,229	269	361
Petroleo Brasileiro SA - Petrobras	26,029	332	299	Chongqing Rural Commercial Bank Co., Ltd., H Shares	119,864	142	125
Petroleo Brasileiro SA - Petrobras, Preference	9,461	109	98	COSCO SHIPPING Holdings Co., Ltd., H Shares	69,939	169	165
Raia Drogasil S.A.	62,755	347	290	CRRC Corporation Limited	97,075	120	106
Telefonica Brasil SA	46,622	301	435	Foshan Haitian Flavouring and Food Company Ltd., Class A	8,200	60	57
Vibra Energia S.A.	44,803	232	368	GigaDevice Semiconductor Inc., A Shares	700	67	122
	2,504		3,183	Haitian International Holdings Limited	41,185	172	140
Chile — 0.1%				Hansoh Pharmaceutical Group Company Limited	42,081	219	226
LATAM Airlines Group S.A.	3,636,991	97	150	Henan Shuanghui Investment & Development Co., Ltd., Class A	14,883	74	70
China — 18.3%				Hengan International Group Company Limited	28,063	145	110
Agricultural Bank of China Limited, Class A	265,763	161	337	HUA XIA BANK CO., Limited, Class A	41,780	47	56
Agricultural Bank of China Limited, H Shares	840,900	469	814	Hygon Information Technology Co., Ltd.	3,735	120	293
Air China Limited, H Shares	72,107	75	56	Industrial and Commercial Bank of China Limited, Class A	194,122	181	287
Akeso, Inc.	9,989	84	160	Industrial and Commercial Bank of China Limited, H Shares	575,108	470	669
Alibaba Group Holding Limited	53,091	1,197	900	Innovent Biologics, Inc.	10,085	46	146
Anhui Gujing Distillery Company Limited, Class B	7,940	137	74	JCET Group Co., Ltd., Class A	5,800	90	128
Anker Innovations Technology Co., Ltd.	1,600	40	35	JD.com Inc., Class A	5,323	184	96
Avary Holding (Shenzhen) Co., Limited	3,900	82	87	Kweichow Moutai Co., Ltd., Class A	100	27	25
Baidu, Inc., Class A	7,055	128	142	Lenovo Group Limited	148,809	256	630
Bank of China Limited, Class A	107,296	67	128	Li Auto Inc., Class A	6,129	146	51
Bank of China Limited, H Shares	1,357,068	710	1,227	MINISO Group Holding Limited	20,351	159	87
Bank of Communications Co., Ltd., A Shares	135,477	128	182	Montage Technology Co., Ltd., Class A	2,954	38	197
Bank of Communications Co., Ltd., H Shares	386,443	337	472	NetEase, Inc.	16,396	365	598
Bank of Shanghai Co., Ltd., Class A	47,945	71	87	New Oriental Education & Technology Group Inc.	21,763	124	142
Beijing Enterprises Holdings Limited	26,429	131	129	OmniVision Integrated Circuits Group, Inc., A Shares	6,400	121	128
Beijing-Shanghai High Speed Railway Co., Ltd., Class A	147,759	144	140	PetroChina Company Limited, Class A	55,928	65	100
BOE Technology Group Co., Ltd.	73,400	80	134	PICC Property and Casualty Co. Ltd., H Shares	137,429	271	358
C&D International Investment Group Limited	38,494	104	94	Rockchip Electronics Co., Ltd.	3,564	58	142
Chaozhou Three-Circle (Group) Co., Ltd., Class A	3,300	85	116	SDIC Power Holdings Co., Ltd., Class A	28,092	92	78
China CITIC Bank Corporation Limited, H Shares	408,793	241	492	Shaanxi Coal Industry Company Limited	14,800	81	63
China Coal Energy Company Limited, H Shares	21,000	36	37	Shanghai Baosight Software Co., Ltd., B Shares	57,725	174	66
China Construction Bank Corporation, H Shares	587,328	620	858	Shanghai Pharmaceuticals Holding Co., Ltd., H Shares	53,285	134	110
China Merchants Bank Co., Ltd., H Shares	37,111	303	302	Shanghai Pudong Development Bank Co., Ltd., Class A	76,029	132	137
China Merchants Port Holdings Company Limited	61,766	126	138				
China National Building Material Company Limited, H Shares	36,005	22	35				

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Schedule of Investment Portfolio (cont'd)

As at June 30, 2026 (All amounts in thousands of Canadian dollars, unless otherwise noted)

	Number of Shares or Units	Cost* (\$)	Fair Value (\$)		Number of Shares or Units	Cost* (\$)	Fair Value (\$)
Sichuan Chuantou Energy Co., Ltd., Class A	18,700	65	55	Nestle India Limited	10,892	171	232
Sinotruk (Hong Kong) Limited	42,161	141	295	NTPC Limited	96,936	484	522
Tencent Holdings Limited	26,981	1,954	2,109	Petronet LNG Limited	42,067	156	178
Tingyi (Cayman Islands) Holding Corp.	86,449	185	153	PI Industries Limited	2,042	93	79
Tongcheng Travel Holdings Limited	71,916	220	156	Pidilite Industries Limited	7,264	145	174
Trip.com Group Limited	15,832	1,122	892	Power Grid Corporation of India Limited	116,351	425	502
Tsingtao Brewery Company Limited, H Shares..	29,570	382	230	Reliance Industries Limited	16,019	345	313
Unisplendour Corp. Ltd., Class A	6,700	38	41	Siemens Energy India Limited	4,956	206	277
Want Want China Holdings Limited	167,686	147	103	Siemens Limited	3,532	217	191
Weichai Power Co., Ltd., Class H	14,036	35	87	Sun Pharmaceutical Industries Limited	21,111	381	591
ZTE Corporation, H Shares	21,553	79	90	Tata Consultancy Services Limited	11,993	652	367
ZTO Express (Cayman) Inc., Class A, ADR	8,249	306	262	Tata Consumer Products Limited	4,917	92	80
		16,116	19,058	Torrent Pharmaceuticals Limited	6,686	255	467
				Trent Limited	2,181	145	108
Hong Kong — 0.9%				Varun Beverages Limited	13,071	125	101
China Resources Beer (Holdings) Company				Wipro Limited	73,572	254	189
Limited	61,506	444	237			9,920	10,906
China Resources Power Holdings Company				Indonesia — 0.3%			
Limited	20,610	82	63	PT Bank Central Asia Tbk	353,370	236	156
Far East Horizon Limited	101,406	145	99	PT Bank Mandiri (Persero) Tbk	338,670	176	104
Guangdong Investment Limited	171,145	197	241			412	260
Kunlun Energy Company Limited	178,268	243	207				
Orient Overseas (International) Limited	2,986	71	66				
		1,182	913	Luxembourg — 0.2%			
				Reinet Investments S.C.A.	5,168	198	203
Hungary — 0.2%							
Gedeon Richter Plc.	4,436	166	244	Malaysia — 1.4%			
				IHH Healthcare Berhad	143,400	326	418
India — 10.5%				IOI Corporation Berhad	157,600	215	232
Adani Ports and Special Economic Zone				Malayan Banking Berhad	118,900	391	447
Limited	12,915	284	352	MISC Berhad	74,400	160	202
Adani Power Limited	57,019	135	193	Petronas Gas Berhad	27,860	152	169
Apollo Hospitals Enterprise Limited	5,994	703	778			1,244	1,468
Asian Paints Limited	2,466	119	98				
Aurobindo Pharma Limited	2,495	52	59	Mexico — 0.9%			
Bajaj Auto Limited	2,351	172	344	America Movil, S.A.B. de C.V.	39,224	50	72
Bharti Airtel Limited	18,455	288	514	Arca Continental, S.A.B. de C.V.	16,426	130	279
Britannia Industries Limited	3,338	254	259	Coca-Cola FEMSA, S.A.B. de C.V.	6,885	83	104
Cipla Limited	11,519	219	254	Fomento Economico Mexicano, S.A.B. de C.V.	3,551	58	64
Divi's Laboratories Limited	3,370	239	334	Gruma, S.A.B. de C.V., Class B	3,236	48	74
Dr. Reddy's Laboratories Limited	22,857	371	466	Promotora y Operadora de Infraestructura,			
Eicher Motors Limited	1,192	68	127	S.A.B. de C.V.	2,639	59	59
GMR Airports Limited	87,863	119	149	Wal-Mart de Mexico S.A.B. de C.V., Series V	68,184	310	284
Godrej Consumer Products Limited	7,001	137	107			738	936
HCL Technologies Limited	21,419	485	345				
HDFC Bank Limited	7,004	109	84	Peru — 1.6%			
Hero MotoCorp Limited	1,013	51	73	Compania de Minas Buenaventura S.A.A.,			
Hindustan Unilever Limited	12,791	474	408	ADR	2,766	35	115
Indian Hotels Company Limited, The,	5,904	58	64	Credicorp Ltd.	2,753	668	1,521
Infosys Limited	12,590	348	190			703	1,636
ITC Limited	55,371	325	239				
Lupin Limited	10,317	259	375	Philippines — 0.2%			
Marico Limited	29,183	254	367	Manila Electric Company	15,999	154	211
Maruti Suzuki India Limited	1,053	156	224				
Muthoot Finance Limited	2,913	95	132				

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Schedule of Investment Portfolio (cont'd)

As at June 30, 2026 (All amounts in thousands of Canadian dollars, unless otherwise noted)

	Number of Shares or Units	Cost* (\$)	Fair Value (\$)		Number of Shares or Units	Cost* (\$)	Fair Value (\$)
Poland — 0.3%				Industrial Bank of Korea	12,644	171	231
PKO Bank Polski SA	3,239	127	126	Korea Shipbuilding & Offshore Engineering Co., Ltd.	808	77	260
Zabka Group S.A.	17,564	140	180	KT&G Corporation	5,887	668	916
.....	267	306		LG Corp.	4,500	389	402
				LG Uplus Corp.	4,010	59	52
Qatar — 1.0%				Samsung Biologics Co., Ltd.	290	407	371
Nebras Energy	24,302	155	135	Samsung C&T Corporation	2,256	274	979
Ooredoo Q.P.S.C.	51,812	226	268	Samsung Electro-Mechanics Co., Ltd.	1,432	385	2,936
Qatar Fuel Company Q.P.S.C.	22,057	131	121	Samsung Electronics Co., Ltd.	17,852	1,503	5,535
Qatar Gas Transport Company Limited (Nakilat) (QPSC)	107,510	156	181	Samsung Electronics Co., Ltd., Preference	9,698	615	1,926
Qatar International Islamic Bank (Q.P.S.C.)	53,046	202	230	Samsung Heavy Industries Co., Ltd.	4,243	23	91
Qatar National Bank Q.P.S.C.	15,811	94	106	Samsung SDS Co., Ltd.	2,459	420	433
.....	964	1,041		Samyang Foods Co., Ltd.	129	142	132
				SK Hynix Inc.	4,244	1,666	10,620
Russia — 0.0%				SK Telecom Co., Ltd.	4,883	328	396
"Surgutneftegas" Public Joint Stock Company, Preference	679,903	451	0	S-Oil Corporation	978	96	94
Nebius Group N.V., Class A	8,690	776	0	Woori Investment & Securities Co., Ltd.	3,116	37	85
Polyus PJSC	25,500	568	—		7,932	26,199	
Severstal PJSC	18,451	482	0				
.....	2,277	0					
				Taiwan — 27.0%			
Saudi Arabia — 3.1%				Accton Technology Corporation	6,032	104	676
Arab National Bank	6,849	61	53	Advantech Co., Ltd.	24,785	362	550
Arabian Internet and Communications Services Company	896	92	69	ASPEED Technology Inc.	197	158	146
Bupa Arabia for Cooperative Insurance Company	1,627	132	108	Bizlink Holding Inc.	5,093	491	439
Dr. Sulaiman Al-Habib Medical Services Group Company	2,549	226	204	Chang Hwa Commercial Bank, Ltd.	379,430	255	406
Etihad Etisalat Company	11,304	182	258	Chunghwa Telecom Co., Ltd.	218,922	1,130	1,379
Mowasat Medical Services Company	2,620	88	63	CTBC Financial Holding Co., Ltd.	91,315	257	290
SABIC Agri-Nutrients Company	11,058	516	517	E Ink Holdings Inc.	14,886	138	144
Saudi Arabian Oil Company	29,658	351	292	E.SUN Financial Holding Company, Ltd.	449,966	582	692
Saudi Telecom Company	103,489	1,555	1,690	eMemory Technology Incorporation	1,949	237	256
.....	3,203	3,254		Evergreen Marine Corporation (Taiwan) Ltd.	29,483	258	243
				Far EastOne Telecommunications Co., Ltd.	106,040	390	497
South Africa — 1.8%				First Financial Holding Co., Ltd.	421,053	390	616
Bid Corporation Limited	16,793	571	650	Global Unichip Corp.	5,348	409	1,181
Capitec Bank Holdings Ltd.	235	37	97	Hotai Motor Co., Ltd.	3,240	89	67
Clicks Group Limited	12,078	286	238	Hua Nan Financial Holdings Co., Ltd., Class C	219,306	173	373
Discovery Limited	2,660	63	61	Jentech Precision Industrial Co., Ltd.	4,710	494	726
Naspers Limited, N Shares	3,610	303	257	KGI Financial Holding Co., Ltd.	157,097	161	202
Nedbank Group Limited	9,670	170	226	MediaTek Inc.	8,380	1,238	1,623
OUTsurance Group Limited	27,115	86	184	Mega Financial Holding Co., Ltd.	212,809	326	438
Shoprite Holdings Limited	6,043	103	154	Novatek Microelectronics Corp.	25,292	620	608
.....	1,619	1,867		Pegatron Corporation	68,485	233	256
				PharmaEssentia Corp.	15,099	309	907
South Korea — 25.2%				President Chain Store Corporation	23,702	243	235
Celltrion, Inc.	1,552	314	247	Quanta Computer Inc.	7,408	34	122
DB Insurance Co., Ltd.	514	52	63	Realtek Semiconductor Corp.	26,652	586	966
Hankook Tire Co., Ltd.	1,976	97	112	Shanghai Commercial & Savings Bank, Ltd.	252,112	454	480
HMM Co., Ltd.	3,233	58	55	SinoPac Financial Holdings Co., Ltd.	461,848	503	826
Hyundai Glovis Co., Ltd.	1,561	151	263	Taiwan Business Bank	193,522	117	153
				Taiwan Cooperative Financial Holding Co., Ltd.	196,125	199	217
				Taiwan Mobile Co., Ltd.	64,052	294	333
				Taiwan Semiconductor Manufacturing Company, Ltd.	62,872	3,341	6,847
				TS Financial Holding Co., Ltd.	153,775	76	229
				Uni-President Enterprises Corp.	107,673	362	358

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Schedule of Investment Portfolio (cont'd)

As at June 30, 2026 (All amounts in thousands of Canadian dollars, unless otherwise noted)

	Number of Shares or Units	Cost ⁺ (\$)	Fair Value (\$)
United Microelectronics Corporation	164,853	1,025	1,254
Wistron Corporation	15,351	130	109
Wiwynn Corporation	2,125	511	442
Yageo Corporation	55,685	446	2,857
.....	17,125		28,143

Thailand — 0.2%

Advanced Info Service Public Company Limited, Foreign Shares	5,600	84	88
Bangkok Dusit Medical Services Public Company Limited, Foreign Shares	117,174	108	97
Gulf Development Public Company Limited	17,588	46	47
.....		238	232

Turkey — 1.1%

Aselsan Elektronik Sanayi ve Ticaret Anonim Sirketi	55,735	187	584
BIM Birlesik Magazalar A.S.	15,008	91	167
Turkcell Iletisim Hizmetleri Anonim Sirketi	57,080	176	187
Turkiye Petrol Rafinerileri A.S.	24,188	161	167
.....		615	1,105

United Arab Emirates — 1.7%

Abu Dhabi Islamic Bank PJSC	61,449	145	490
Abu Dhabi National Oil Company for Distribution PJSC	134,057	200	203
ADNOC Gas plc	223,722	287	298
Dubai Islamic Bank P.J.S.C.	56,442	97	163
Emirates Telecommunications Group Company PJSC	63,980	578	475
Salik Company P.J.S.C.	54,840	118	125
.....		1,425	1,754
Total Equities — 99.1%		69,099	103,069

	Number of Units	Cost ⁺ (\$)	Fair Value (\$)
--	--------------------	---------------------------	-----------------------

HOLDINGS IN INVESTMENT FUNDS

Emerging Markets Equity Fund — 0.7%

BMO MSCI Emerging Markets Index ETF [†]	21,979	676	761
Total Holdings in Investment Funds — 0.7%		676	761

Total Investment Portfolio — 99.8%

Other Assets Less Liabilities — 0.2%

NET ASSETS ATTRIBUTABLE TO HOLDERS OF REDEEMABLE UNITS — 100.0% ...

⁺ Where applicable, distributions received from holdings as a return of capital are used to reduce the adjusted cost base of the securities in the portfolio.

[†] The fund is managed or sub-advised by the Manager.

^{*} These securities have no quoted market value and are valued using valuation techniques (note 3).

[~] Russian securities subject to international sanctions, which restrict trading and settlement of the securities.

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Notes to the Financial Statements

(All amounts in thousands of Canadian dollars, except per unit data)

June 30, 2026

1. The Fund

BMO Low Volatility Emerging Markets Equity ETF ("the ETF") is an exchange-traded fund established as an open-ended trust by a Declaration of Trust under the laws of the Province of Ontario. BMO Asset Management Inc. ("the Manager") is the Manager and trustee of the ETF. The Manager is a wholly owned subsidiary of Bank of Montreal. The address of the ETF's registered office is 100 King Street West, 43rd Floor, Toronto, Ontario, M5X 1A1.

The Statement of Financial Position and related notes for the ETF are as at June 30, 2026 and December 31, 2025, except for ETFs established in 2026, in which case the information is only as at June 30, 2026. The Statement of Comprehensive Income, Statement of Changes in Net Assets Attributable to Holders of Redeemable Units, Statement of Cash Flows and related notes are for the six-month periods ended June 30, 2026 and June 30, 2025, except for ETFs established during either period, which are presented from the date of establishment (as noted in Note 8) to June 30, of the applicable period. Financial information provided for a class of units established during the period(s) is presented from the establishment date as noted in Note 8 to June 30 of the applicable period.

The financial statements were authorized for issue by the Manager on August 5, 2026.

These financial statements should be read in conjunction with the annual financial statements for the period ended December 31, 2025, which have been prepared in accordance with International Financial Reporting Standards as issued by the International Accounting Standards Board ("IFRS Accounting Standards").

2. Basis of preparation and presentation

These unaudited interim financial statements have been prepared in accordance with IFRS Accounting Standards and in accordance with International Accounting Standard ("IAS") 34 - Interim Financial Reporting.

In April 2024, the International Accounting Standards Board ("IASB") issued IFRS 18, Presentation and Disclosure in Financial Statements, which replaces IAS 1, Presentation of Financial Statements. IFRS 18 introduces new requirements for the presentation and disclosure of information in the financial statements, including prescribed categories and subtotals in the Statement of Comprehensive Income and enhanced guidance on the aggregation and disaggregation of information and certain conforming changes to the Statement of Cash Flows. The standard is effective for annual periods beginning on or after January 1, 2027. The ETFs do not intend to early adopt the standard. Management has completed a preliminary assessment of the impact of IFRS 18 on the ETFs' financial statements. Based on this assessment, IFRS 18 is not expected to impact the ETFs' net assets attributable to holders of redeemable units, total comprehensive income, or cash flows, as the standard primarily affects presentation and disclosure requirements.

Management expects that, for the majority of the ETFs, items presented in the Statement of Comprehensive Income will be reported within the Operating and Financing categories prescribed by IFRS 18. Income and expenses classified in the financing category will potentially include expenses associated with certain borrowings and repurchase or similar finance-related transactions that certain ETFs may enter into.

IFRS 18 also introduces requirements for the disclosure of Management-defined Performance Measures ("MPMs"). Management has initiated a review of performance measures presented in the ETFs' public communications and regulatory filings outside the financial statements to determine whether any measures meet the definition of an MPM under IFRS 18 and, if applicable, whether additional disclosures will be required upon adoption of the standard.

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Notes to the Financial Statements (cont'd)

(All amounts in thousands of Canadian dollars, except per unit data)

June 30, 2026

Management will continue to assess the impact of IFRS 18 as implementation guidance evolves and anticipates finalizing the ETFs' transition approach prior to the effective date of January 1, 2027.

3. Material accounting policy information

Financial Instruments

Financial instruments include financial assets and financial liabilities such as equity and debt securities, investment funds and derivatives. These investments are part of a group of financial instruments that are managed and their performance is evaluated on a fair value basis and in accordance with the ETF's investment strategy.

The ETF classifies and measures financial instruments in accordance with IFRS 9 Financial Instruments ("IFRS 9"). Upon initial recognition, financial instruments are recorded at fair value. A financial instrument is recognized when the ETF becomes a party to the contractual requirements of the instrument and is derecognized when the right to receive cash flows from the instrument has expired or the ETF has transferred substantially all risks and rewards of ownership. As such, investment purchase and sale transactions are recorded as of the trade date. Investments and derivatives are subsequently measured at fair value through profit or loss ("FVTPL"), with changes in fair value recognized in the Statement of Comprehensive Income as "Change in unrealized appreciation (depreciation)".

All financial assets and financial liabilities are recognized in the Statement of Financial Position.

The ETF's redeemable units, which are puttable instruments, are held by different types of unitholders that are entitled to different redemption rights. See Note 5 for details of unitholders' transactions in the units of the ETF.

The different redemption features create equally subordinate but not identical units or classes of the units of the ETF. Redemption of units at 95% of the Net Asset Value ("NAV") for some type of unitholders redemptions also results in a situation where the

redemption value of this puttable instrument is not based substantially on the net assets of the ETF. As a result, the ETF's obligations for net assets attributable to holders of redeemable units ("Net Assets") are classified as financial liabilities and presented at the redemption amounts.

Cost of investments

The cost of investments represents the amount paid for each security and is determined on an average cost basis, and excludes commissions and other portfolio transaction costs, which are reported separately in the Statement of Comprehensive Income. Realized gains and losses on disposition are determined based on the cost of the investments.

Fair value measurement

Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

For exchange-traded securities, close prices are considered to be fair value if they fall within the bid-ask spread. In circumstances where the close price is not within the bid-ask spread, the Manager determines the point within the bid-ask spread that is most representative of fair value based on the specific facts and circumstances.

Procedures are in place to fair value equities traded in countries outside of North America daily, to avoid stale prices and to take into account, among other things, any significant events occurring after the close of a foreign market.

For bonds, debentures, asset-backed securities, short-term investments and other debt securities, fair value is determined as the last traded market price or close price, or other such prices, that falls within the bid-ask spread of the security.

The ETF may enter into forward currency contracts for hedging purposes either directly or indirectly, or for non-hedging purposes. The fair value of forward currency contracts entered into by the ETF is recorded as the difference between the fair value of the contract

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Notes to the Financial Statements (cont'd)

(All amounts in thousands of Canadian dollars, except per unit data)

June 30, 2026

on the Valuation Date (the "Valuation Date" is each day on which the Toronto Stock Exchange ("TSX") is open for trading) and the fair value on the date the contract originated.

For the Listed Hedged Units (the "Hedged Units"), the ETF enters into forward currency contracts to hedge against foreign currency exposure and as a result the Hedged Units will be subject to less currency risk than the other classes of the ETF because their foreign currency exposure is hedged. However, the hedging strategy may not achieve a perfect hedge of the foreign currency exposure for the Hedged Units.

The ETF may engage in option contract transactions by purchasing (long positions) or writing (short positions) call or put option contracts. These contracts have different risk exposures for the ETF, whereas the risk for long positions will be limited to the premium paid to purchase the option contracts, the risk exposure for the short positions is potentially unlimited until closed or expired.

The premium paid for purchasing an option is included in "Derivative assets" in the Statement of Financial Position. The option contract is valued on each Valuation Date at an amount equal to the fair value of the option that would have the effect of closing the position. The change in the difference between the premium and the fair value is shown as "Change in unrealized appreciation (depreciation)" in the Statement of Comprehensive Income.

When a purchased option expires, the ETF will realize a loss equal to the premium paid. When a purchased option is closed, the gain or loss the ETF will realize will be the difference between the proceeds and the premium paid. When a purchased call option is exercised, the premium paid is added to the cost of acquiring the underlying security. When a purchased put option is exercised, the premium paid is subtracted from the proceeds from the sale of the underlying security that had to be sold.

The premium received from writing an option is included in "Derivative liabilities" in the Statement of Financial Position.

When a written option expires, the ETF will realize a gain equal to the premium received. When a written option is closed, the ETF will realize a gain or loss equal to the difference between the cost at which the contract was closed and the premium received. When a written call option is exercised, the premium received is added to the proceeds from the sale of the underlying investments to determine the realized gain or loss. When a written put option is exercised, the premium received is subtracted from the cost of the underlying investments the ETF had purchased.

The gain or loss that the ETF realizes when a purchased or written option is expired or closed is recorded as "Net realized gain (loss)" in the Statement of Comprehensive Income.

A credit default swap contract is an agreement to transfer credit risk from one party, a buyer of protection, to another party, a seller of protection. The ETF, as a seller of protection, would be required to pay a notional or other agreed upon value to the buyer of protection in the event of a default by a third-party. In return, the ETF would receive from the counterparty a periodic stream of payments over the term of the contract provided that no event of default occurs. If no default occurs, the ETF would keep the stream of payments and would have no payment obligations.

In connection with the agreement, securities or cash may be identified as collateral or margin in accordance with the terms of the agreement to provide assets of value in the event of default or bankruptcy/insolvency.

The ETF, as a buyer of protection, would receive a notional or other agreed upon value from the seller of protection in the event of a default by a third-party. In return, the ETF would be required to pay to the counterparty a periodic stream of payments over the term of the contract provided that no event of default occurs.

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Notes to the Financial Statements (cont'd)

(All amounts in thousands of Canadian dollars, except per unit data)

June 30, 2026

Credit default swap contracts are fair valued daily based upon quotations from independent security pricing sources. Premiums paid or received, if any, are included in "Net realized gain (loss)" in the Statement of Comprehensive Income. Net periodic payments are accrued daily and recorded as "Derivative income (loss)" in the Statement of Comprehensive Income. When credit default swap contracts expire or are closed out, gains or losses are recorded as "Net realized gain (loss)" in the Statement of Comprehensive Income.

Excess return swaps are agreements where one party receives payments based on a set rate, while the other party receives payments based on a return of a referenced asset or index. The net periodic payments received or paid from the excess return swaps are recorded as "Derivative income (loss)" in the Statement of Comprehensive Income. Payments received or paid when the ETF enters into the contract are recorded as a liability or asset in the Statement of Financial Position. When the contract is terminated or expires, the payments received or paid are recorded as "Net realized gain (loss)" in the Statement of Comprehensive Income. Payments received or paid upon early termination are recorded as "Net realized gain (loss)" in the Statement of Comprehensive Income. Excess return swap agreements are valued based upon quotations from independent sources. The change in value is included in "Change in unrealized appreciation (depreciation)" in the Statement of Comprehensive Income.

The ETF may enter into forward-starting cash-flow hedge swap contracts with various counterparties, including Bank of Montreal, an affiliate of the Manager, where the ETF will pay to the counterparty the proceeds from the bonds maturing in the final year of the ETF. At the end of the ETF's final year, the counterparty will pay a bullet payment plus an agreed upon rate determined and locked in at the inception of the ETF.

The forward-starting cash-flow hedge swap contracts are fair valued daily based upon quotations from independent security pricing sources. All unrealized

gains (losses) from the forward-starting cash-flow swap contracts are included in "Change in unrealized appreciation (depreciation)" in the Statement of Comprehensive Income. When the forward-starting cash-flow hedge swap contracts are partially closed out or closed out the gains (losses) realized are included in "Net realized gain (loss)" in the Statement of Comprehensive Income.

For securities where market quotes are not available, unreliable or not considered to reflect the current value, the Manager may determine another value which it considers to be fair and reasonable, or use a valuation technique that, to the extent possible, makes maximum use of inputs and assumptions based on observable market data, including volatility, comparable companies, NAV (for exchange-traded funds) and other applicable rates or prices. These estimation techniques include discounted cash flows, internal models that utilize observable data or comparisons with other securities that are substantially similar. In limited circumstances, the Manager may use internal models where the inputs are not based on observable market data.

The ETF may enter into short positions whereby a security that it does not own is sold short in anticipation of a decline in the fair value of that security. To enter a short sale, the ETF will need to borrow the security for delivery to the buyer. The short positions are secured by the assets owned by the ETF. The ETF can realize a gain on the short sale, if the price of the security decreases from the date the security was sold short until the date at which the ETF closes out its short position, by buying that security at a lower price. A loss will be incurred if the price of the security increases. The gain or loss that would be realized is included in the Statement of Comprehensive Income in "Net realized gain (loss)". While the transaction is open, the ETF will also incur a liability for any accrued dividends or interest, which are paid to the lender of the security.

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Notes to the Financial Statements (cont'd)

(All amounts in thousands of Canadian dollars, except per unit data)

June 30, 2026

Cash

Cash is comprised of cash and deposits with banks, which include bankers' acceptances and overnight demand deposits. The carrying amount of cash approximates its fair value because it is short-term in nature.

Other assets and other liabilities

Other assets and other liabilities generally include receivable for investments sold, subscriptions receivable, interest receivable, dividends receivable, payable for investments purchased, redemptions payable, distributions payable, dividends payable and accrued expenses. These financial assets and financial liabilities are short-term in nature and are measured at amortized cost, which approximates their fair value.

Investments in subsidiaries, joint ventures and associates

Subsidiaries are entities over which the ETF has control through its exposure or rights to variable returns from its investment and has the ability to affect those returns through its power over the entity. The Manager has determined that the ETF is an investment entity and as such, it accounts for subsidiaries, if any, at fair value. Joint ventures are investments where the ETF exercises joint control through an agreement with other shareholders, and associates are investments in which the ETF exerts significant influence over operating, investing, and financing decisions (such as entities in which the ETF owns 20% - 50% of voting shares), all of which, if any, have been classified at FVTPL.

Unconsolidated structured entities

The Manager has determined that the underlying funds in which the ETF may invest are unconsolidated structured entities. This determination is based on the fact that decision making about the underlying funds is not governed by the voting right or other similar right held by the ETF. Similarly, investments in securitizations, asset-backed securities and mortgage-backed securities are determined to be interests in unconsolidated structured entities.

The ETF may invest in underlying funds whose investment objectives range from achieving short-term to long-term income and capital growth potential. Underlying funds may use leverage in a manner consistent with their respective investment objectives and as permitted by Canadian securities regulatory authorities. Underlying funds finance their operations by issuing redeemable units which are puttable at the holders' option and entitles the holder to a proportionate stake in the respective fund's Net Assets. The change in fair value of each of the underlying funds during the periods is included in "Change in unrealized appreciation (depreciation)" in the Statement of Comprehensive Income.

Mortgage-related securities are created from pools of residential or commercial mortgage loans, including mortgage loans made by savings and loan institutions, mortgage bankers, commercial banks and others. Asset-backed securities are created from many types of assets, including auto loans, credit card receivables, home equity loans, and student loans.

The ETF does not provide and has not committed to providing any additional significant financial or other support to the unconsolidated structured entities other than its investment in the unconsolidated structured entities.

Additional information on the ETF's interest in unconsolidated structured entities, where applicable, is provided in Note 8.

Offsetting of financial assets and financial liabilities

Financial instruments are presented at net or gross amounts on the Statement of Financial Position depending on the existence of intention and legal right to offset opposite positions of such instruments held with the same counterparties. Amounts offset in the Statement of Financial Position are related to transactions for which the ETF has legally enforceable rights to offset and intends to settle the positions on a net basis. Amounts not offset in the Statement of Financial Position relate to positions where there is no legally enforceable right to offset, or the legal right to offset is only in the event of default, insolvency or

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Notes to the Financial Statements (cont'd)

(All amounts in thousands of Canadian dollars, except per unit data)

June 30, 2026

bankruptcy, or where the ETF has no intention to settle on a net basis. Refer to Note 8 for details.

Income recognition

Dividend income and distributions received from investment trusts are recognized on the ex-dividend and ex-distribution date, respectively.

Interest income from interest bearing investments is recognized in the Statement of Comprehensive Income using the effective interest rate. Interest receivable shown in the Statement of Financial Position is accrued based on the interest bearing investments' stated rates of interest.

Interest on inflation-indexed bonds is paid based on a principal value, which is adjusted for inflation. The inflation adjustment of the principal value is recognized as part of "Interest income" in the Statement of Comprehensive Income. If held to maturity, the ETF will receive, in addition to a coupon interest payment, a final payment equal to the sum of the par value and the inflation compensation accrued from the original issue date. Interest is accrued on each Valuation Date based on the inflation adjusted par value at that time and is included in "Interest income" in the Statement of Comprehensive Income.

Foreign currency translation

The fair value of investments and other assets and liabilities in foreign currencies are translated into the ETF's functional currency at the rates of exchange prevailing at the period-end date. Purchases and sales of investments, and income and expenses are translated at the rates of exchange prevailing on the respective dates of such transactions. Realized and unrealized foreign exchange gains (losses) on investment transactions are included in "Net realized gain (loss)" and in "Change in unrealized appreciation (depreciation)" respectively, in the Statement of Comprehensive Income. Realized and unrealized foreign exchange gains (losses) relating to cash, receivables and payables, as applicable, are included in "Foreign exchange gain (loss)" in the Statement of Comprehensive Income.

Securities lending

An ETF may engage in securities lending pursuant to the terms of an agreement with State Street Bank and Trust Company, and/or Securities Finance Trust Company (the "securities lending agent"). The aggregate market value of all securities on loan by an ETF cannot exceed 50% of the NAV of the ETF. An ETF will receive collateral of at least 102% of the value of the securities on loan. Collateral will generally be comprised of obligations of or guarantee by the Government of Canada or a province thereof, or by the United States government or its agencies, but it may include obligations of other governments with appropriate credit ratings. Further, the program entered into provides for 100% indemnification by the securities lending agent and parties related to the ETF's custodian, to the ETF for any defaults by borrowers.

For those ETFs participating in the program, aggregate values of securities on loan and the collateral held as at June 30, 2026 and December 31, 2025 and information about the security lending income earned by the ETF are disclosed in Note 8, where applicable.

Income from securities lending, where applicable, is included in the Statement of Comprehensive Income and is recognized when earned. The breakdown of the securities lending income is disclosed in Note 8, where applicable.

Increase or decrease in net assets attributable to holders of redeemable units per unit

"Increase (decrease) in net assets attributable to holders of redeemable units per unit" of a class in the Statement of Comprehensive Income represents the increase (decrease) in net assets attributable to holders of redeemable units of the class divided by the weighted average number of units of the class outstanding during the period. Refer to Note 8 for details.

Taxation

The ETF qualifies as a mutual fund trust under the provisions of the Income Tax Act (Canada). Distributions of all net taxable income and sufficient amounts of net realized capital gains for each taxation

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Notes to the Financial Statements (cont'd)

(All amounts in thousands of Canadian dollars, except per unit data)

June 30, 2026

year will be paid to unitholders so that the ETF will not be subject to income tax. As a result, the Manager has determined that the ETF is in substance not taxable and therefore does not record income taxes in the Statement of Comprehensive Income nor does it recognize any deferred tax assets or liabilities in the Statement of Financial Position.

The ETF may be subject to taxes levied by certain countries on foreign investment income and capital gains. These taxes may be withheld at source or estimated using the most likely method in measuring uncertain tax liabilities in respect of foreign capital gains taxes. Such income and capital gains are recorded on a gross basis with the related foreign withholding tax, or estimate of capital gains taxes, shown as expense in the Statement of Comprehensive Income, and the tax liability amounts included in accrued liabilities in the Statement of Financial Position. The estimate could materially differ from the actual tax payable to the foreign jurisdiction.

4. Critical accounting judgements and estimates

The preparation of financial statements requires the use of judgement in applying the ETF's accounting policies and to make estimates and assumptions about the future. The following discusses the most significant accounting judgements and estimates that the ETF has made in preparing its financial statements.

Accounting judgements:

Functional and presentation currency

The ETF's unitholders are mainly Canadian residents, with the subscriptions and redemptions of the redeemable units denominated in Canadian dollars. The ETF invests in Canadian and U.S. dollars and other foreign denominated securities, as applicable. The performance of the ETF is measured and reported to the investors in Canadian dollars. The Manager considers the Canadian dollar as the currency that most faithfully represents the economic effects of the underlying transactions, events and conditions. The financial statements are presented in Canadian dollars, which is the ETF's functional and presentation currency.

Classification and measurement of investment portfolio

In classifying and measuring financial instruments held by the ETF, the Manager is required to make an assessment of the ETF's business model for managing financial instruments and the Manager is also required to make significant judgements in determining the most appropriate classification in accordance with IFRS 9. The Manager has assessed the ETF's business model with respect to the manner in which financial assets and financial liabilities are managed as a group and performance is evaluated on a fair value basis, and has concluded that FVTPL in accordance with IFRS 9 provides the most appropriate measurement and presentation of the ETF's investment portfolio. The collection of principal and interest is incidental to the fair value business model.

Accounting estimates:

Fair value measurement of securities not quoted in an active market

The Manager has established policies and control procedures that are intended to ensure these estimates are well controlled, independently reviewed, and consistently applied from period to period. The estimates of the value of the ETF's assets and liabilities are believed to be appropriate as at the reporting date.

The ETF may hold financial instruments that are not quoted in active markets. Note 3 discusses the policies used by the ETF for the estimates used in determining fair value.

5. Units and unit transactions

The redeemable units of the ETF are classified as financial liabilities. The units have no par value and are entitled to distributions, if any. Upon redemption, a unit is entitled to a proportionate share of the ETF's NAV. The ETF is required to pay distributions in an amount not less than the amount necessary to ensure the ETF will not be liable for income taxes on realized capital gains, dividends and interest. The ETF has no restrictions or specific capital requirements on the subscriptions and redemptions of units except as

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Notes to the Financial Statements (cont'd)

(All amounts in thousands of Canadian dollars, except per unit data)

June 30, 2026

disclosed in Note 8. The relevant movements in redeemable units are shown in the Statement of Changes in Net Assets Attributable to Holders of Redeemable Units.

In accordance with its investment objectives and strategies, and the risk management practices outlined in Note 7, the ETF endeavours to invest the subscriptions received in appropriate investments, while maintaining sufficient liquidity to meet redemptions, with such liquidity being augmented by short-term borrowings or disposal of investments where necessary.

The ETF is authorized to issue an unlimited number of units of each class. On any trading day, a designated broker or underwriter may place a subscription or redemption order for an integral multiple of the prescribed number of units of a particular class of the ETF. A trading day is each day on which the TSX is opened for business.

If the subscription or redemption order is accepted, the ETF will issue or redeem units to/from the designated broker or underwriter by no later than the third trading day after the date on which the subscription or redemption order is accepted. For each prescribed number of units issued or redeemed, a designated broker or underwriter must deliver or receive payment consisting of:

- A basket of applicable securities and cash in an amount sufficient so that the value of the securities, and the cash received is equal to the NAV of the units subscribed/redeemed; or
- Cash in the amount equal to the NAV of the units subscribed/redeemed.

On any trading day, unitholders may redeem units for cash or exchange units for baskets of securities and cash. Units redeemed for cash will be redeemed at a redemption price per unit equal to 95% of the closing price for the units on the exchange on the effective day of the redemption. Units exchanged for baskets of

securities will be exchanged at a price equal to the NAV of the units on the effective date of the exchange request, payable by delivery of baskets of securities and cash.

Unitholders who redeem units prior to the distribution record date will not be entitled to receive the distribution.

The NAV per unit of a class for the purposes of subscription or redemption is computed by dividing the NAV of the ETF (that is, the total fair value of the assets attributable to the class of the ETF less the liabilities attributable to the class) by the total number of units of the class of the ETF outstanding at such time on each Valuation Day, in accordance with Part 14 National Instrument ("NI") 81-106 Investment Fund Continuous Disclosure for the purpose of processing unitholder transactions. Net Assets are determined in accordance with IFRS Accounting Standards and may differ from the ETF's NAV. Where an ETF's NAV is not equal to its Net Assets, a reconciliation is shown in Note 8.

Expenses directly attributable to a class are charged to that class. Other expenses, income, realized and unrealized gains and losses from investment transactions are allocated proportionately to each class based upon the relative NAV of each class.

6. Related party transactions

(a) Management fees

The Manager is responsible for all other costs and expenses of the ETF, including the fees payable to the custodian, registrar and transfer agent and plan agent fees payable to other service providers, including the index providers retained by the Manager.

The ETF will pay the Manager a management fee as disclosed in Note 8 based on the NAV of the class of the ETF. The management fee, plus applicable taxes, will be accrued daily and paid quarterly in arrears. The Manager may, from time to time in its discretion, waive a portion of the management fee directly or indirectly charged at any given time.

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Notes to the Financial Statements (cont'd)

(All amounts in thousands of Canadian dollars, except per unit data)

June 30, 2026

The Manager may agree to charge a reduced management fee it otherwise would be entitled to receive from the ETF with respect to investments in the ETF by certain unitholders. An amount equal to the difference between the fee otherwise chargeable and the reduced fee of the ETF will be distributed in cash to those unitholders as Management Fee Distributions.

(b) Other related party transactions

All expenses are recognized in the Statement of Comprehensive Income on the accrual basis.

The ETF is responsible for the costs and expenses incurred in complying with NI 81-107 (including any expenses related to the implementation and on-going operation of an Independent Review Committee), brokerage expenses and commissions, income and withholding taxes as well as other applicable taxes, the costs of complying with any new governmental or regulatory requirement introduced after the date the ETF was established and extraordinary expenses.

From time to time, the Manager may on behalf of the ETF, enter into transactions or arrangements with or involving subsidiaries and affiliates of Bank of Montreal, or certain other persons or companies that are related or connected to the Manager of the ETF. These transactions or arrangements may include transactions or arrangements with or involving subsidiaries and affiliates of Bank of Montreal, BMO Asset Management Inc., BMO Nesbitt Burns Inc., BMO Private Investment Counsel Inc., BMO InvestorLine Inc., BMO Investments Inc., or other investment funds offered by Bank of Montreal and may involve the purchase or sale of portfolio securities through or from subsidiaries or affiliates of Bank of Montreal, the purchase or sale of securities issued or guaranteed by subsidiaries or affiliates of Bank of Montreal, entering into forward contracts with subsidiaries or affiliates of Bank of Montreal acting as counterparty, the purchase or redemption of units of other Bank of Montreal affiliated investment funds or the provision of services to the Manager.

BMO Nesbitt Burns Inc. is one of the designated brokers that have entered into an underwriting agreement with

the Manager. As a Designated Broker, under the underwriting agreement, BMO Nesbitt Burns Inc. may subscribe for and or be issued units of the ETF by the Manager from time to time.

7. Financial instruments risks

The ETF's activities expose it to a variety of risks associated with the financial instruments, as follows: market risk (including currency risk, interest rate risk and other market risk), credit risk and liquidity risk. The concentration table groups securities by asset type, geographic location and/or market segment. The ETF's risk management practice focuses on processes and strategies to minimize the tracking error between the ETF's performance and the performance of its relevant index.

(a) Currency risk

Currency risk is the risk that the fair value of financial instruments denominated in currencies, other than the functional currency of the ETF, will fluctuate due to changes in foreign exchange rates. Investments in foreign markets are exposed to currency risk as the prices denominated in foreign currencies are converted to the ETF's functional currency in determining fair value. The ETF may enter into forward currency contracts for hedging purposes to reduce foreign currency exposure. IFRS 7 considers the foreign exchange exposure relating to non-monetary assets and liabilities to be a component of market price risk, not foreign currency risk. However, the Manager monitors the exposure on all foreign currency denominated assets and liabilities. The ETF's exposure to currency risk, if any, is further disclosed in Note 8.

(b) Interest rate risk

Interest rate risk is the risk that the fair value of the ETF's interest bearing investments will fluctuate due to changes in market interest rates. The ETF's exposure to interest rate risk is concentrated in its investment in debt securities (such as bonds, money market investments, short-term investments and debentures) and interest rate derivative instruments, if any. Other

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Notes to the Financial Statements (cont'd)

(All amounts in thousands of Canadian dollars, except per unit data)

June 30, 2026

assets and liabilities are short-term in nature and/or non-interest bearing. The ETF's exposure to interest rate risk, if any, is further discussed in Note 8.

(c) Other market risk

Other market risk is the risk that the fair value of a financial instrument will fluctuate as a result of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in a market or market segment. The Manager moderates this risk through the use of investment strategies that seek to minimize the ETF's tracking error versus a market index, within the parameters of the investment strategy. The maximum risk resulting from financial instruments is equivalent to its fair value.

The Manager monitors the ETF's overall market positions on a daily basis and positions are maintained within established ranges. Other assets and liabilities are monetary items that are short-term in nature, and as such they are not subject to other market risk. The ETF's exposure to other market risk, if any, is further discussed in Note 8.

(d) Credit risk

Credit risk is the risk that a loss could arise from a security issuer or counterparty to a financial instrument not being able to meet its financial obligations. The fair value of debt securities includes consideration of the credit worthiness of the debt issuer. Credit risk exposure for over-the-counter derivative instruments is based on the ETF's unrealized gain of the contractual obligations with the counterparty as at the reporting date. The credit exposure of other assets is represented by its carrying amount. The ETF's exposure to credit risk, if any, is further discussed in Note 8.

The ETF may enter into securities lending transactions with approved counterparties. The credit ratings of each counterparty is disclosed in Note 8 and the market

value of collateral held by the ETF must be at least 102% of the fair value of securities loaned, as disclosed in Note 8, where applicable.

(e) Liquidity risk

The ETF's exposure to liquidity risk is concentrated in the daily redemptions of units, and other liabilities. Since the settlement of redemptions is primarily by delivery of securities, the ETF is not exposed to any significant liquidity risk. The ETF primarily invests in securities that are traded in active markets and can be readily disposed. In addition, the ETF retains sufficient cash positions to maintain liquidity. The ETF may, from time to time, enter into over-the-counter derivative contracts or invest in unlisted securities, which are not traded in an organized market and may be illiquid. Securities for which market quotation could not be obtained and may be illiquid are identified in the Schedule of Investment Portfolio. The proportion of illiquid securities to the NAV of the ETF is monitored by the Manager to ensure it does not exceed the regulatory limit and does not significantly affect the liquidity required to meet the ETF's financial obligations.

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Notes to the Financial Statements (cont'd)

(All amounts in thousands of Canadian dollars, except per unit data)
June 30, 2026

8. ETF specific information

(a) ETF information and change in units

The ETF was established on January 29, 2016. The units are listed on the TSX under the symbol ZLE.

The last close price as at June 30, 2026 was \$29.09 (December 31, 2025 — \$21.70).

The number of units that have been issued and are outstanding are disclosed in the table below.

For the periods ended (in thousands of units)	Jun. 30, 2026	Jun. 30, 2025
Units issued and outstanding, beginning of period	3,279	3,079
Units issued	300	300
Units issued and outstanding, end of period	3,579	3,379

(b) Reconciliation of NAV to Net Assets

As at June 30, 2026 and December 31, 2025, there were no differences between the ETF's NAV per unit and its Net Assets per unit calculated in accordance with IFRS Accounting Standards.

(c) Increase (decrease) in net assets attributable to holders of redeemable units per unit

The increase (decrease) in net assets attributable to holders of redeemable units per unit for the periods ended June 30, 2026 and June 30, 2025 is calculated as follows:

For the periods ended	Jun. 30, 2026	Jun. 30, 2025
Increase in net assets attributable to holders of redeemable units	25,016	5,129
Weighted average units outstanding during the period (in thousands of units)	3,392	3,265
Increase in net assets attributable to holders of redeemable units per unit	7.38	1.57

(d) Income taxes

As at the tax year-ended December 15, 2025, the ETF had the following capital and non-capital losses available for income tax purposes:

Total Capital Losses (\$)	Total Non-Capital Losses (\$)	Non-Capital Losses That Expire in		
		2031 (\$)	2032 (\$)	2033 and thereafter (\$)
24,306	—	—	—	—

(e) Related party transactions

Management fees

The Manager is entitled to receive a management fee of 0.450% per annum of the NAV of the ETF, plus applicable taxes, accrued daily and paid quarterly in arrears.

The outstanding accrued management fees due to the Manager are included in "Accrued expenses" in the Statement of Financial Position and as at June 30, 2026 amounted to \$113 (December 31, 2025 — \$76).

Brokerage commissions

Brokerage commissions paid (excluding transaction costs) on security transactions and amounts paid to related parties of the Manager for brokerage services provided to the ETF for the periods are as follows:

For the periods ended	Jun. 30, 2026 (\$)	Jun. 30, 2025 (\$)
Total brokerage amounts paid	5	5
Total brokerage amounts paid to related parties	1	—

There were no ascertainable soft dollars paid or payable to dealers by the ETF during the periods.

Investments by affiliates

As at June 30, 2026, 88.7% (December 31, 2025 — 92.5%) of the Net Assets were held by affiliates of the ETF.

(f) Financial instruments risks

The ETF's objective is to provide exposure to the performance of a portfolio of emerging market stocks that have lower sensitivity to market movements with the potential for long-term capital appreciation. The ETF will primarily invest in and hold equity securities of emerging market companies. Securities will be selected from the large capitalization emerging market equity universe. The securities that have lower

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Notes to the Financial Statements (cont'd)

(All amounts in thousands of Canadian dollars, except per unit data)

June 30, 2026

sensitivity to market movement (beta) will be selected for the portfolio and it will be weighted so that a higher allocation is given to securities with lower beta.

No changes affecting the overall level of risk of investing in the ETF were made during the period.

Currency risk

The ETF's exposure to currency risk is summarized in the tables below. Amounts shown are based on the carrying value of monetary and non-monetary assets (including derivatives and the underlying principal (notional) amount of forward currency contracts, if any).

As at Jun. 30, 2026

Currency	Cash and other current receivables & payables (\$)	Investments (monetary & non-monetary) (\$)	Forward currency contracts (\$)	Net currency exposure (\$)	As a % of Net Assets (%)
Brazilian Real	71	3,183	—	3,254	3.1
Chilean Peso	—	150	—	150	0.1
Chinese Yuan Renminbi (onshore)	1	4,033	—	4,034	3.9
Colombian Peso	5	—	—	5	0.0
Czech Republic Koruna	6	—	—	6	0.0
Euro	2	—	—	2	0.0
Hong Kong Dollar	175	15,610	—	15,785	15.2
Hungarian Forint	20	244	—	264	0.3
Indian Rupee	(323)	10,906	—	10,583	10.2
Indonesian Rupiah	2	260	—	262	0.3
Malaysian Ringgit	—	1,468	—	1,468	1.4
Mexican Peso	21	936	—	957	0.9
Philippine Peso	0	211	—	211	0.2
Polish Zloty	7	306	—	313	0.3
Pound Sterling	0	—	—	0	0.0
Qatari Rial	—	1,041	—	1,041	1.0
Russian Ruble*	8	—	—	8	0.0
Saudi Riyal	2	3,254	—	3,256	3.1
South African Rand	34	2,070	—	2,104	2.0
South Korean Won	3	26,199	—	26,202	25.2
Taiwan New Dollar	78	28,143	—	28,221	27.1
Thai Baht	1	232	—	233	0.2
Turkish Lira	20	1,105	—	1,125	1.1
UAE Dirham	0	1,754	—	1,754	1.7
U.S. Dollar	138	1,964	—	2,102	2.0
Total	271	103,069	—	103,340	99.3

* As at June 30, 2026, the ETF held cash balances denominated in Russian rubles. Due to international sanctions and related foreign exchange controls, the ETF cannot presently transact in Russian rubles. Exchange rates used reflect management's estimate of observable market rates as at June 30, 2026.

As at Dec. 31, 2025

Currency	Cash and other current receivables & payables (\$)	Investments (monetary & non-monetary) (\$)	Forward currency contracts (\$)	Net currency exposure (\$)	As a % of Net Assets (%)
Brazilian Real	40	2,596	—	2,636	3.7
Chilean Peso	—	135	—	135	0.2
Chinese Yuan Renminbi (onshore)	1	3,088	—	3,089	4.3
Colombian Peso	4	—	—	4	0.0
Czech Republic Koruna	6	—	—	6	0.0
Euro	2	—	—	2	0.0
Hong Kong Dollar	133	16,337	—	16,470	23.1
Hungarian Forint	6	192	—	198	0.3
Indian Rupee	(435)	11,776	—	11,341	15.9
Indonesian Rupiah	2	376	—	378	0.5
Malaysian Ringgit	—	1,642	—	1,642	2.3
Mexican Peso	10	790	—	800	1.1
Philippine Peso	0	214	—	214	0.3
Polish Zloty	6	154	—	160	0.2
Pound Sterling	0	—	—	0	0.0
Qatari Rial	—	1,048	—	1,048	1.5
Russian Ruble*	16	0	—	16	0.0
Saudi Riyal	2	2,568	—	2,570	3.6
South African Rand	7	2,027	—	2,034	2.9
South Korean Won	4	9,905	—	9,909	13.9
Taiwan New Dollar	14	12,861	—	12,875	18.1
Thai Baht	1	98	—	99	0.1
Turkish Lira	12	943	—	955	1.3
UAE Dirham	0	1,643	—	1,643	2.3
U.S. Dollar	9	1,414	—	1,423	2.0
Total	(160)	69,807	—	69,647	97.6

* As at December 31, 2025, the ETF held cash balances denominated in Russian rubles. Due to international sanctions and related foreign exchange controls, the ETF cannot presently transact in Russian rubles. Exchange rates used reflect management's estimate of observable market rates as at December 31, 2025.

As at June 30, 2026 and December 31, 2025, if the Canadian dollar had strengthened or weakened by 5% in relation to all foreign currencies, with all other variables held constant, the Net Assets of the ETF could possibly have decreased or increased, as applicable, by approximately \$5,167 (December 31, 2025 — \$3,482). In practice, actual results may differ from this sensitivity analysis and the difference could be material.

Interest rate risk

As at June 30, 2026 and December 31, 2025, the ETF did not have significant exposure to interest rate risk.

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Notes to the Financial Statements (cont'd)

(All amounts in thousands of Canadian dollars, except per unit data)
June 30, 2026

Other market risk

The ETF has significant exposure to other market risk arising from its investments. Using historical correlation between the ETF's return and the return of its benchmark, if the benchmark, MSCI Emerging Markets Index, had increased or decreased by 10%, with all other variables held constant, the Net Assets of the ETF would have increased or decreased, respectively, by \$8,078 (December 31, 2025 — \$5,488). Historical correlation may not be representative of future correlation, and accordingly, actual results may differ and the difference could be material.

Credit risk

As at June 30, 2026 and December 31, 2025, the ETF did not have significant exposure to credit risk.

Securities lending

The ETF engaged in securities lending with State Street Bank and Trust Company during the periods ended June 30, 2026, and December 31, 2025. The ETF had assets involved in securities lending transactions outstanding as at June 30, 2026 and December 31, 2025 as follows:

	Aggregate Value of Securities on Loan (\$)	Aggregate Value of Collateral Received for the Loan (\$)
Jun. 30, 2026	1,636	1,816
Dec. 31, 2025	3,549	3,767

The table below is a reconciliation of the gross amount generated from securities lending transactions to the security lending revenue for the periods ended June 30, 2026 and June 30, 2025:

For the periods ended	Jun. 30, 2026		Jun. 30, 2025	
	Amount (\$)	% of Gross Securities Lending Revenue	Amount (\$)	% of Gross Securities Lending Revenue
Gross securities lending revenue	4	100.0	0	100.0
Withholding taxes	—	—	—	—
	4	100.0	0	100.0
Payment to securities lending agents	1	22.8	0	24.5
Net securities lending revenue	3	77.2	0	75.5

Concentration risk

The ETF's concentration risk is summarized in the following table:

As at	Jun. 30, 2026	Dec. 31, 2025
Money Market Investments		
Federal	—%	3.2%
Equities		
Brazil	3.1%	3.7%
Chile	0.1%	0.2%
China	18.3%	26.3%
Hong Kong	0.9%	1.4%
Hungary	0.2%	0.3%
India	10.5%	16.6%
Indonesia	0.3%	0.5%
Luxembourg	0.2%	0.4%
Malaysia	1.4%	2.3%
Mexico	0.9%	1.1%
Peru	1.6%	1.5%
Philippines	0.2%	0.3%
Poland	0.3%	0.2%
Qatar	1.0%	1.5%
Russia [^]	0.0%	0.0%
Saudi Arabia	3.1%	3.6%
South Africa	1.8%	2.5%
South Korea	25.2%	13.9%
Taiwan	27.0%	18.1%
Thailand	0.2%	0.1%
Turkey	1.1%	1.3%
United Arab Emirates	1.7%	2.3%
Holdings in Investment Funds		
Emerging Markets Equity Funds	0.7%	1.7%
Other Assets Less Liabilities	0.2%	(3.0)%
	100.0%	100.0%

[^] Russian securities subject to international sanctions, which restrict trading and settlement of the securities.

(g) Fair value hierarchy

The ETF classifies its financial instruments into three levels based on the inputs used to value the financial instruments. Level 1 securities are valued based on quoted prices in active markets for identical securities. Level 2 securities are valued based on significant observable market inputs, such as quoted prices from similar securities and quoted prices in inactive markets or based on observable inputs to models. Level 3 securities are valued based on significant unobservable inputs that reflect the Manager's determination of

BMO Low Volatility Emerging Markets Equity ETF

(unaudited)

Notes to the Financial Statements (cont'd)

(All amounts in thousands of Canadian dollars, except per unit data)
June 30, 2026

assumptions that market participants might reasonably use in valuing the securities. The tables below show the relevant disclosure.

As at Jun. 30, 2026	Level 1	Level 2	Level 3	Total
Financial assets	(\$)	(\$)	(\$)	(\$)
Equity Securities	5,790	97,279	0	103,069
Investment Funds	761	—	—	761
Total	6,551	97,279	—	103,830

As at Dec. 31, 2025	Level 1	Level 2	Level 3	Total
Financial assets	(\$)	(\$)	(\$)	(\$)
Debt Securities	2,289	—	—	2,289
Equity Securities	1,726	68,080	1	69,807
Investment Funds	1,201	—	—	1,201
Total	5,216	68,080	1	73,297

Transfers between levels

Transfers are made between the various fair value hierarchy levels due to changes in the availability of quoted market prices or observable inputs due to changing market conditions. Transfers of assets and liabilities between fair value hierarchy levels are recorded at their fair values as at the end of each reporting period, consistent with the date of the determination of fair value.

During the period from January 1, 2026 to June 30, 2026, the valuation of certain equity securities traded outside of North America were changed from fair valuing these equity securities to using close prices. As a result of this change, \$2,937 of equity securities were transferred from Level 2 to Level 1.

During the period from January 1, 2025 to December 31, 2025, there were no transfers between the levels.

Changes in Level 3 fair value measurements

The following table presents a reconciliation of all Level 3 financial instruments during the periods ended June 30, 2026 and December 31, 2025, including realized and unrealized gains (losses) included in earnings.

	Jun. 30, 2026	Dec. 31, 2025
For the periods ended		
Financial Assets		
Equity Securities		
Opening Balance	1	0
Purchases/additions	—	1
Sales/deductions	(1)	—
Realized and unrealized gains/		
(losses) included in earnings	(0)	0
Transfers in	—	—
Transfers out	—	—
Closing Balance	0	1
Change in unrealized gains or losses for Level 3		
assets held at year end and included in other		
changes in fair value of investments and		
derivatives	0	0

The Manager has assessed the effect of changing the inputs to possible alternatives and determined that they would not have a significant impact on Net Assets of the ETF.

Level 3 additional disclosures:

The Level 3 positions held in the ETF were not considered significant.

(h) Unconsolidated structured entities

Information on the carrying amount and the size of the investments in structured entities are shown in the following tables:

	Carrying amount (\$)	Carrying amount as a % of the underlying fund's Net Assets
As at Jun. 30, 2026		
Securities		
BMO MSCI Emerging Markets Index ETF	761	0.0
Total	761	
As at Dec. 31, 2025		
Securities		
BMO MSCI Emerging Markets Index ETF	1,201	0.1
Total	1,201	

BMO Asset Management Inc.

First Canadian Place, 43rd Floor
100 King Street West
Toronto, Ontario M5X 1A1

Independent Auditor

PricewaterhouseCoopers LLP
PwC Tower
18 York Street, Suite 2500
Toronto, Ontario M5J 0B2

BMO ETFs are managed and administered by BMO Asset Management Inc., an investment fund manager, portfolio manager, and a separate legal entity from Bank of Montreal.

"BMO (M-bar roundel symbol)" is a registered trademark of Bank of Montreal, used under licence.

www.bmo.com/etflegal

For more information please call 1-800-361-1392



Exchange Traded Funds